

AGRI VALUE-CHAIN

FarmHalal

Interest-free finance

Bangladesh's landless tenant farmers face a collateral-blocked credit gap Islamic profit-sharing finance can fill



THE SITUATION IN BANGLADESH

In rural Bangladesh roughly 56% of households are landless and nearly 40% of farm households are pure landless tenants, with about 43% of farmers sharecropping land they will never own¹. Because banks lend almost exclusively against land titles, these tenants are shut out of concessional agricultural credit — fewer than one in ten formal farm loans are issued without land-based collateral². The microcredit that fills the void often deepens the hole: about 26% of microcredit borrowers are over-indebted versus 22% of non-borrowers, and multiple-borrowing across lenders climbed to 33% of members³. Meanwhile about 45% of adults remain unbanked and account ownership has stalled at 53%, leaving the rural poor structurally excluded⁷.

OUR PITCH

FarmHalal pairs landless farmers, idle land and Halal capital through Mudarabah profit-and-loss-sharing: investors fund the crop cycle, farmers contribute labor and skill, and they split the actual harvest profit — with no interest and no debt left owing when a season fails, so a bad harvest cannot trigger the spiral that traps interest-based microcredit borrowers³. The wedge is real and underserved — landless tenants are excluded precisely because they lack collateral, the exact constraint equity-based finance is built to bypass². The model is proven: Pakistan's Akhuwat has sustained 6.8 million interest-free loans worth USD 1.53 billion at a 99.9% repayment rate without collateral⁶, and Islami Bank's Rural Development Scheme shows measurable poverty reduction and women's empowerment in rural Bangladesh⁴. Demand is already mainstream and growing — Islamic banks hold about 26% of national deposits⁵ and lifted agricultural investment from BDT 12.13 billion to BDT 20.03 billion in two years⁸ — and BRAC's randomized field experiment confirms that relaxing the credit constraint for sharecroppers raises tenant-farm investment and output⁹.

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